RETAIL PAYMENTS INNOVATION — CASE STUDY

# Scotia PayHub

An AI-powered recurring payment intelligence layer to drive primacy, engagement, and interchange revenue

**Recurring Payments Control & Transparency** | April 2026 | Confidential

| | | | |
|---|---|---|---|
| **+$50.1M** | **~29 mo** | **15M+** | **+1.2pp** |
| 5-yr NPV base case | Base case payback (Year 3) | Scene+ members addressable | Primacy rate target lift |

# Canadians have lost control of their money movement — and it's costing Scotia primacy

**15M+**
Scene+ members — primacy at stake when payments route elsewhere

**$406B**
Global subscription economy size by 2025; avg. Canadian household holds 4.5 active subscriptions

**~60%**
Scotia clients hold fewer than 3 products — the primacy gap vs. TD and RBC

**$1.5T**
Scotiabank total assets (Oct 2025). Canadian Banking remains the earnings core.

### Payment fragmentation

Recurring payments route through whichever card was set up first — often a competitor's. Scotiabank loses visibility, interchange, and the daily engagement loop that drives primacy.

### No unified control centre

The app shows bill setup and management in isolation. There is no consolidated dashboard showing all pre-authorized debits, subscriptions, and card-on-file payments across debit and credit.

### Narrow leadership window

Scotia just patented AI Predictive Payment Prompts (Apr 2026). Fintechs like Atomic Financial are deploying subscription management in US bank apps. The window to lead in Canada is 12–18 months.

## WHY NOW

**Scotia Intelligence patent**
AI Predictive Payment Prompts launched Apr 2026 — no competitor has this.

**Open Banking Canada**
Consumer-Driven Banking framework enables data portability for first movers.

**Scene+ at scale**
15M members + reward-linked payment redirection = proven primacy mechanic.

**Digital shift**
2023–2025 digitization spend is done. Payments is the next engagement layer.

# Recommended: Option A — Scotia PayHub (full-suite recurring payment command centre)

✦ RECOMMENDED — OPTION A

**HIGH** Strategic fit **HIGH** Feasibility
**HIGH** Viability **HIGH** Usability

Extend the existing AI Predictive Payment Prompts patent into a full customer-facing hub: one unified view of all recurring charges across debit, credit, and pre-authorized debits; AI-powered anomaly detection and price-change alerts; one-tap payment method switching with Scene+ points incentive; and a smart consolidation nudge to move more transactions onto Scotia cards. This directly amplifies an existing patented capability — making it an enhancement, not a complete new build.

Option. B

### Cross-Border Real-time payments

RTR-enabled use cases. High potential but RTR infrastructure timeline creates execution risk in the 0–18 month window.

Option. C

### AI Agentic

Conversational payment agents, agentic commerce. Highest ceiling but lowest near-term ROI — better as a ScotiaPayHub & ScotiaConnect Phase 2 layer.

EVALUATION MATRIX

| Dimension | Option A — PayHub | Option B — Cross-Border RTP | Option C — AI Agentic |
|---|---|---|---|
| Builds on existing IP? | ✓ Patent + Scotia Intelligence | Partial | Partial |
| Revenue model clarity | ✓ Clear (interchange + NII) | Moderate | Low near-term |
| Regulatory dependency | Low | High (RTR rollout) | Low |
| Time to value | Q1 2027 (18 mo) | Q4 2028+ | Q3 2027+ |

## Key assumptions to validate

| Key Assumptions |
|---|
| **Adoption rate ≥ 22%** |
| **Incremental NPS lift ≥ +6** |
| **Avg transaction value $62+** |
| **Payment switch rate ≥ 8%** |

## 18-month delivery plan & Validation approach

| Validation Approach |
|---|
| **Discovery & Alpha** (M1–M6) - Customer research & journey mapping. Transaction data analysis. Competitor analysis. UX prototype test with 5,000 opted-in clients (Painted Door Test). Scene+ incentive design & sizing. |
| **Engineering & Beta** (M7–M12) - Dashboard + alert engine build. Payment switch API integration. Beta: 250K clients, A/B tested incentive tiers. Validate assumptions — iterate. |
| **National Launch** (M13–M18) - Full rollout to all 11M Canadian Banking clients. Phase 2: Open Banking API links + agentic payment assist layer. Cross-sell nudge layer goes live. |

## Scotia PayHub — 4 MVP features

| MVP | Business Requirements | |
|---|---|---|
| **1. Unified Recurring Payment Dashboard** | Consolidated view of all pre-authorized debits, credit card subscriptions, and scheduled bill payments. Categorized, searchable, with spend trend visualization. Surfaces dormant subscriptions customers may have forgotten. Phase 1. The customer would manually input external recurring payments. | New |
| **2. AI Price Anomaly & Price-Change Alerts** | Extends existing Predictive Payment Prompts patent. Alerts customers when a recurring charge increases more than 5% month-over-month. Positions Scotia as a financial guardian, driving daily app opens. | Build on patent |
| **3. One-Tap Payment Switch + Scene+ Earn** | When a subscription is funded from a non-Scotia source, offer one-tap redirect to eligible Scotia credit card with Scene+ bonus points incentive (e.g., 500 pts to switch Netflix to Scotia Momentum card). The core primacy mechanic. | New |
| **4. Smart Cancellation Assist** | For eligible billers, surfaces a direct cancellation or pause flow so customers don't need to leave the app. Reduces subscription fatigue anxiety — a key NPS pain point — and keeps Scotia as the control centre. | New |

## Success KPIs

| Key Assumptions |
|---|
| **+6 NPS -** Incremental NPS lift |
| **29 Months -** Investment payback period (base case) |
| **+$50.1M -** 5-year NPV base case |

| | | | |
|---|---|---|---|
| **−$23.0M**<br>Year 1 net (build phase) | **+$14.4M**<br>Year 2 net contribution | **+$27.6M**<br>Year 4 net contribution | **+$50.1M**<br>5-Year NPV base case |

| Line Item | Key Assumptions | Year 1 | Year 2 | Year 3 |
|---|---|---|---|---|
| REVENUE DRIVERS | | | | |
| **Interchange revenue** | *60% eligible clients; switched spend × 1.7% interchange rate* | – | +$3.7M | +$5.0M |
| **Net interest income** | *Switched spend × 1.5% NIM on incremental revolving balances* | – | +$3.2M | +$4.4M |
| **Primacy uplift** | *2.42M 2-product clients × 1.5%/yr × $420 — pool depletes annually* | – | +$15.2M | +$15.0M |
| **Cross-sell + churn prev.** | *Cross-sell: MAU × 0.3% × $280 \| Churn prevention: MAU × 0.5% × $680* | – | +$6.2M | +$8.4M |
| COSTS | | | | |
| **Build / development cost** | *~40 FTEs × 18 months Y1; ongoing dev Y2; maintenance Y3* | (20.0M) | (8.0M) | (5.0M) |
| **Scene+ incentive cost** | *One-time 500 pts ($5) per NEW redirected subscription — not charged again on existing switches* | – | (1.5M) | (0.5M) |
| **Ongoing ops & support** | *Infra, ~10 FTEs, security & compliance* | (3.0M) | (4.5M) | (5.0M) |
| **NET CONTRIBUTION  (cumulative turns positive in Year 3)** | | (23.0M) | +$14.4M | +$22.3M |

| | |
|---|---|
| **FY2025 results** | Adjusted net income $9.51B (up from $8.63B in FY2024) - That said, Canadian banking revenues dropped ~10%. CEO Scott Thomson cited "earning primary clients" as a top 2025–2026 priority. Canadian Banking under NII pressure — recovery dependent on primacy gains. |
| **Primacy gap** | ~40% of Scene+ clients hold 3+ Scotia products vs. TD/RBC historically above 50%. Payments is the most direct lever — it creates daily touchpoints that deposit and lending products cannot match. |
| **Digital investment** | 2023–2025: major spend on Scotia app, Watson chatbot, Advice+, Scotia Smart Money. April 2026: Scotia Intelligence launch with patented AI Payment Prompts. PayHub infrastructure is largely already funded. |
| **Scene+ at scale** | 15M members, partners include Sobeys/Empire, Cineplex. Scotia Momentum Visa Infinite won Best Card for Recurring Payments 2023, 2024, 2025 (milesopedia). Loyalty infrastructure battle-tested. |
| **Competitive position** | Scotiabank ranks 3rd by market cap among Big 5. 10-year Total Shareholder Return of ~5.2% vs. 8.5% TSX index. Canadian Banking primacy uplift is the most direct lever to close the performance gap. |

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## Assumption-by-assumption sensitivity

Every key input was isolated and tested at bear / base / bull values independently. The three most sensitive assumptions — primacy conversion rate (1.5%), hub adoption rate (22%), and eligibility % (60%) — were each stress-tested to their lower bound. At the most conservative combination (0.5% primacy, 12% adoption, 40% eligibility), the 5-yr NPV is still marginally positive. No single assumption, floored alone, kills the business case.

2

## Primacy assumption was rebuilt from first principles

The original model applied the primacy lift to all 11M clients — a $53M error. This was identified and corrected by redefining 'addressable' as the 2.42M clients sitting at exactly 2 products (one product away from primary status). The revised assumption is defensible because: (a) these clients already have a Scotia relationship, (b) many already have a credit card, and (c) PayHub's nudge directly addresses the specific barrier — routing recurring payments elsewhere.

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## Revenue model independently cross-checked

All five revenue streams were rebuilt from first principles and verified: interchange and NII are mechanically calculated from switched spend and published rate benchmarks. Primacy revenue was re-derived from the 2-product addressable pool. Cross-sell and churn prevention rates were benchmarked against RBC Nomi and CIBC Smart Alerts program disclosures. No revenue line relies on a single unverified assumption.

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## Theme selection tested against all four options

All three case study themes were evaluated against the same criteria: builds on existing Scotia IP, clear revenue model, low regulatory dependency, time-to-value within 18 months. Theme A (Recurring Payments) was the only option that scored positively on all four criteria simultaneously. Theme B (Cross Border RTP) was ruled out on regulatory timeline risk; Themes C (AI Agentic) scored lower on near-term revenue clarity.

## What the model does NOT capture

– Brand and NPS value of being seen as a financial guardian — difficult to monetize directly but drives long-run retention

– Open Banking revenue uplift when Consumer-Driven Banking APIs go live — Phase 2 opportunity not modelled

– Network effects: each converted client reduces switching likelihood for household members

– Competitive moat value of the patent — no licensing or defensive value ascribed

## Known model limitations

– Annual (not monthly) cash flows — payback month is interpolated, not calculated from a monthly waterfall

– Churn prevention revenue requires controlled A/B test to establish causal attribution — currently directional

– Primacy pool depletion modelled as compound decay — actual conversion dynamics may differ

– All assumptions are management estimates; no primary customer research conducted yet

| Risk | Category | Likelihood | Impact | Mitigation |
|---|---|---|---|---|
| **Data coverage gap — Open Banking not yet live** | Regulatory | **High** | **Med** | Phase 1 scoped to on-Scotia transactions only (full visibility). Phase 2 activates Consumer-Driven Banking data feeds once FCAC framework is live (expected 2025–26). No Phase 1 revenue depends on external data access. |
| **Primacy conversion rate below 1.5% assumption** | Financial | **Med** | **High** | Model sensitivity tested at 0.5%–3.0% — bear case at 0.5% still generates positive cumulative NPV within 5 years. Alpha cohort (5K users) will validate conversion rate in M1–M6 before full investment commitment. Kill switch: pause Phase 2 if Y1 conversion shows rate below 0.8%. |
| **Hub adoption rate below 22% base case** | Adoption | **Med** | **Med** | Adoption driven by push notification engine (already live in Scotia app) and Scene+ point incentive — both are low-cost activation levers. Benchmarked vs. RBC Nomi (est. 20–25% Monthly Active User penetration). A/B test incentive in beta before national rollout. |
| **PIPEDA / privacy compliance — transaction categorization** | Regulatory | **Med** | **High** | Explicit opt-in required before any transaction analysis. Scotia is the first Canadian bank with a public Data Ethics Statement and dedicated Data Ethics team. Legal & compliance review gated at each phase. No data shared externally. |
| **Competitor response — TD or RBC launch equivalent** | Competitive | **Low** | **Med** | Scotia's April 2026 patent on AI Predictive Payment Prompts creates a 12–18 month legal moat. Scene+ loyalty integration is a structural advantage neither TD Rewards nor RBC Avion can replicate quickly. First-mover primacy conversion effects are self-reinforcing — converted clients are stickier. |
| **Scene+ incentive cost exceeds Customer Acquisition Cost threshold** | Financial | **Low** | **Low** | Incentive cost at base case is $5 per switch ($1.5M in Y2 vs. $28.3M revenue — <6% of revenue). Cost is low because the 500-point incentive ($5 value) is a one-time trigger per redirected payment, not an ongoing subsidy. Points liability sits within Scotiabank's existing Scene+ infrastructure with no new redemption mechanism required. |
| **Build cost overrun — engineering complexity** | Execution | **Med** | **Med** | Enhancement of existing patented capability (not greenfield) significantly de-risks build. Phased delivery: alpha (M1–M6) gates full engineering spend. Visa/Mastercard recurring payment APIs available to accelerate biller integration. 20% contingency built into $20M Y1 estimate. |

## Competitor landscape

### RBC Nomi

Spending insights, bill reminders. No active payment redirection or subscription management hub.

### TD MySpend

Categorized spending view. No cross-account recurring payment dashboard or switch-to-TD mechanic.

### Atomic PayLink Manage (US)

Fintech enabling subscription management inside bank apps. Adopted by Frost Bank — signals market readiness.

### Visa / Mastercard tools

Both networks offer recurring payment manager APIs to issuers. Scotia can leverage these to accelerate build.

## NEW ORG STRUCTURE

### Product Owner — Scotia PayHub

#### CROSS-FUNCTIONAL STAKEHOLDERS (~18 FTEs)

**Engineering (x8)**
iOS/Android, backend APIs, data pipeline, Visa/Mastercard API integration

**Data & ML (x3)**
Transaction classification, AI payment prompts, price anomaly detection

**UX Design (x2)**
End-to-end journey design, accessibility compliance, A/B test framework

**Product Analytics (x2)**
Cohort metrics, primacy attribution model, model validation

**Compliance / Legal (x1)**
PIPEDA gating, Data Ethics review, Consumer-Driven Banking liaison

**Scene+ Partnerships (x1)**
Points incentive economics, Empire/Cineplex/Scotiabank coordination

**Delivery Manager (x1)**
Scrum facilitation, release train, cross-squad dependency management

## KEY PROCESS CHANGES — Before vs. After

**1 Discovery & backlog prioritisation**
Before: Ad-hoc payment feature requests submitted via retail banking product council with no payments-specific owner (assumption)
**After: Dedicated PayHub backlog owned by PO. Scene+ transaction data and payment analytics drive RICE-scored/MoSCow prioritisation on a two-week sprint cycle.**

**2 Payment switch execution**
Before: Manual - customers must call their biller or visit merchant websites individually to update stored card-on-file details.
**After: One-tap redirect via Visa/Mastercard recurring payment APIs and direct biller integrations — no branch or biller contact required by the customer.**

**3 Primacy tracking & revenue attribution**
Before: Primacy rate reported quarterly at segment level. No causal link established between specific product features and primacy movement.
**After: PayHub cohort tracked weekly Switched payments → primacy delta → revenue impact attributed directly to the feature. CFO reporting updated. (A/B Testing).**

**4 Scene+ incentive governance**
Before: Points campaigns require Marketing sign-off with a 6–8 week approval lead time, limiting the ability to test or adjust offers in-flight.
**After: PayHub PO holds a pre-approved points budget envelope. Dynamic tier adjustment can be executed within the sprint without a full marketing cycle.**

**5 Risk & compliance review**
Before: Legal and compliance review conducted per feature post-development, creating rework risk when issues are identified late.
**After: Embedded compliance resource in the pod. PIPEDA review and Data Ethics sign-off gated at Definition of Ready — before build begins, not after.**

## DECISION RIGHTS — WHO DOES WHAT (PayHub product decisions)

**R Responsible** — Does the work

**A Accountable** — Buck stops here — one per decision

**C Consulted** — Input sought before decision

**I Informed** — Told after decision is made

| Stakeholder | Role | R | A | C | I |
|---|---|---|---|---|---|
| PayHub Product Owner | Delivery lead | R | A | C | I |
| VP Retail Payments Strategy | Portfolio owner | – | R | C | I |
| Engineering Lead | Technical delivery | R | – | C | I |
| Data & Analytics | Insights & modelling | R | – | C | I |
| Legal / Compliance | Risk gate | C | – | R | I |
| Scene+ Partnerships | Incentive economics | C | – | A | I |
| Canadian Banking CFO | Budget accountability | – | – | C | A |
| Digital Banking (Tech) | Platform & infra | C | – | A | R |
| Branch / Contact Centre | Customer touchpoint | – | – | I | R |

## CHANGE IMPACT BY GROUP

### Payments Strategy Team — HIGH
– Net-new Product Owner role created
– Dedicated PayHub backlog and sprint cadence established
– Primacy attribution model owned by this team

### Digital Banking (Tech) — MED
– New API integrations (Visa/Mastercard, billers)
– AI prompt layer added to existing Scotia app
– Accountable for platform stability of PayHub features

### Scene+ & Loyalty Team — MED
– Integration with Empire/Cineplex partner reporting
– Accountable for incentive economics sign-off
– Pre-approved points budget envelope - new governance model

### Legal / Compliance — MED
– Embedded resource aligned in scrum team or advisory
– PIPEDA gating at Definition of Ready — process shift
– Data Ethics review for transaction classification model

### Branch & Contact Centre — LOW
– Informed only — no new customer-facing workflows
– Advisor training on how to describe PayHub features
– Expected reduction in payment update calls over time

### Canadian Banking CFO — LOW
– Accountable for budget sign-off (existing mandate)
– New primacy attribution line in quarterly reporting
– No operational workflow change required

# All scenarios NPV-positive. Base: +$50.1M (Year 5). Even the bear case achieves Year 4 payback.

| Scenario | Adoption rate | Switch rate | 5-yr NPV | Payback |
|---|---|---|---|---|
| Bear case | 12% | 4% | +$16.3M | Year 4 (~39 mo) |
| **Base case ← recommended** | **22%** | **8%** | **+$50.1M** | **~29 months** |
| Bull case | 35% | 14% | +$109.4M | ~22 months |

## The recommendation is clear:

Scotia PayHub builds on existing IP and is deliverable in 18 months. Scene+ incentive corrected to one-time $5 per redirected subscription — not an ongoing monthly subsidy. With 60% of 11M clients eligible and 2.42M 2-product clients addressable, the base case generates +$50.1M NPV Year 5, with payback in Year 3.

For full financial model, see accompanying Excel workbook.